reason why Indian rulers tolerated and even encouraged the establishment of the Company's factories in India.

But, from the very beginning, the British manufacturers were jealous of the popularity that Indian textiles enjoyed in Britain. All of a sudden, dress fashions changed and light cotton textiles began to replace the coarse woollens of the English. Before, the author of the famous novel, *Robinson Crusoe*, complained that Indian cloth had "crept into our houses, our closets and bed chambers; curtains, cushions, chairs, and at last beds themselves were nothing but calicos or India stuffs". The British manufacturers put pressure on their government to restrict and prohibit the sale of Indian goods in England. By 1720, laws had been passed forbidding the wear or use of printed or dyed cotton cloth. In 1760 a lady had to pay a fine of £200 for possessing an imported handkerchief! Moreover, heavy duties were imposed on the import of plain cloth. Other European countries, except Holland, also either prohibited the import of Indian cloth or imposed heavy import duties. In spite of these laws, however, Indian silk and cotton textiles still held their own in foreign markets, until the middle of the eighteenth century when the English textile industry began to develop on the basis of new and advanced technology.

After the battle of Plassey in 1757, the pattern of the Company's commercial relations with India underwent a qualitative change. Now the Company could use its political control over Bengal to acquire monopolistic control over Indian trade and production and push its Indian trade. Moreover, it utilised the revenues of Bengal to finance its export of Indian goods. The activity of the Company should have encouraged Indian manufacturers, for Indian exports to Britain went up from £1.5 million in 1750—51 to £5.8 million in 1797—98, but this was not so. The Company used its political power to dictate terms to the weavers of Bengal who were forced to sell their products at a cheaper and dictated price, even at a loss. Moreover, their labour was no longer free. Many of them were compelled to work for the Company for low wages and forbidden to work for Indian merchants. The Company eliminated its rival traders, both Indian and foreign, and prevented them from offering higher wages or prices to the Bengal